adviser), or otherwise impact the terms of the private fund as a whole. This new rule will help investors better understand marketplace dynamics and potentially improve efficiency for future investments, for example, by expediting the process for reviewing and negotiating fees and expenses. This has the potential to reduce the cost of negotiating the terms of future investments.[804]

Except in limited circumstances, the final rule prohibits preferential information and redemption terms when the adviser reasonably expects the terms to have a material, negative effect. Some commenters argued that the "adviser reasonably expects" standard is unworkable because an adviser cannot predict how others will react to information[805] and the adviser's decisions will be judged in hindsight.[806] Other commenters suggested only applying the prohibition when the adviser "knows" the preferential treatment will have a material, negative effect or imposing a good faith standard.[807] As proposed, we are adopting the rule with the "reasonably expects" standard, which imposes an objective standard that takes into account what the adviser reasonably expected at the time. This standard is designed to facilitate the effective operation of the rule and to help ensure that preferential treatment granted to one investor does not have deleterious effects on other investors. We were not persuaded by commenters that argued the standard is unworkable because an adviser cannot predict how others will react to information. This standard does not require advisers to make such predictions; rather, it requires advisers to form only a reasonable expectation based on the facts and circumstances. We were also not persuaded by commenters that stated the standard will result in adviser's decisions being

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804 *See infra* sections VI.D.4 and VI.E.

805 *See* Haynes & Boone Comment Letter.

806 *See* PIFF Comment Letter.

807 *See* AIMA/ACC Comment Letter; Dechert Comment Letter.

unfairly judged in hindsight. An adviser's actions will be judged based on the facts and circumstances at the time the adviser grants or provides the preferential treatment, as set forth in the final rule.

Other commenters asked us to provide more specificity around what constitutes a "material, negative effect," and they stated that if advisers broadly interpret this term, then advisers could lack incentive to offer certain side letter terms to investors, including, for example, necessary investor-specific rights.[808] Because many side letter terms generally do not harm other investors and are not related to liquidity rights (including investor-specific provisions relating to tax, legal, regulatory, or accounting matters), we do not believe that even a broad interpretation of this standard would discourage advisers from offering such side letter terms to investors.

Another commenter stated that the materiality of preferential redemption terms or information rights should be assessed in the "basic framework under the securities laws (*i.e.*, whether there is a substantial likelihood that a reasonable investor would consider such terms significant in its decision to invest or remain in the fund)."[809] This commenter stated that such a standard would allow the adviser to objectively assess the relevant facts and circumstances and consider both quantitative and qualitative factors in determining whether the prohibition should apply to the particular term. We believe, however, that requiring only a "materiality" standard has the potential to result in a broader prohibition than the one we proposed, and we do not

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808 *See* Comment Letter of Structured Finance Association (June 13, 2022) ("SFA Comment Letter II"); ILPA Comment Letter I; RFG Comment Letter II; AIMA/ACC Comment Letter; Schulte Comment Letter; Meketa Comment Letter.

809 *See* AIMA/ACC Comment Letter.

believe a broader prohibition is needed to address the conduct that the rule is intended to address.[810]

Commenters did not offer specific examples of what types of activity or information would have a "material, negative effect," and we believe it is important for this standard to remain evergreen so that it can be applied to various types of arrangements between advisers and investors and fund structures. For example, we believe an adviser could form a reasonable expectation that certain redemption terms would have a material, negative effect on other fund investors if a majority of the portfolio investments were not likely to be liquid.

One commenter stated that requiring advisers to determine whether a preferential term has a material, negative effect on other "investors" suggests that advisers are required to second-guess each investor's individual circumstances rather than the impact such term has on the private fund as a whole.[811] This commenter argued that such a requirement runs contrary to the D.C. Circuit Court's decision in *Goldstein v. SEC*. However, the exercise of our statutory authority under sections 211(h)(2) and 206(4) is consistent with the court's ruling in *Goldstein v. SEC* because section 206(4) is not limited in its application to "clients" and section 211(h) by its terms provides protection to "investors." A plain interpretation of the statute supports a reading that the provision authorizes the Commission to promulgate rules to directly protect investors generally (rather than only the clients) and does not contradict the court's ruling in *Goldstein v. SEC*.[812]

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810 Information is material if there is a substantial likelihood that the information would have been viewed by a reasonable investor as having significantly altered the total mix of information available. *See TSC Industries, Inc. v. Northway, Inc.*, 426 U.S. 438, 449 (1976).

811 *See* SIFMA-AMG Comment Letter I.

812 *See supra* section I (Introduction and Background).

1. Prohibited Preferential Redemptions

We proposed to prohibit a private fund adviser from, directly or indirectly, granting an investor in the private fund or in a substantially similar pool of assets the ability to redeem its interest on terms that the adviser reasonably expects to have a material, negative effect on other investors in that private fund or in a substantially similar pool of assets.[813]

One commenter stated that the proposed prohibition on preferential redemption terms would establish helpful baseline protections for all investors, including those who cannot negotiate for sufficient protections[814] due to bargaining power dynamics or lack of information or resources. One commenter stated that this provision would protect remaining fund investors who could find themselves invested in a materially different portfolio after other, preferred investors redeemed.[815] Other commenters stated that the prohibition on preferential redemption terms would limit investor choice[816] and suggested excluding scenarios in which an investor elects to receive less liquidity in exchange for other rights or terms.[817] Other commenters stated that the treatment of multi-class funds is unclear under the proposed rule.[818] They expressed concern that the prohibition would result in less liquidity for investors[819] and that investors should be permitted to negotiate favorable liquidity terms since those investors might also

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813 Proposed rule 211(h)(2)-3(a)(1).

814 *See* ICCR Comment Letter.

815 *See* United for Respect Comment Letter I.

816 *See* SBAI Comment Letter; MFA Comment Letter I.

817 *See* MFA Comment Letter I.

818 *See* Comment Letter of Curtis (Apr. 25, 2022) ("Curtis Comment Letter"); PIFF Comment Letter.

819 *See* PIFF Comment Letter; Comment Letter of the Regulatory Fundamentals Group (Dec. 3, 2022) ("RFG Comment Letter III").

negotiate other liquidity terms that benefit all investors.[820] Some commenters recommended that we not move forward with the proposed prohibition[821] and instead require disclosure of preferential liquidity terms.[822] These commenters stated that a disclosure-based regime would be more consistent with market practice,[823] and it would avoid unintended consequences, such as blanket bans on liquidity rights granted due to certain laws (*e.g.*, the U.S. Employee Retirement Income Security Act of 1974).[824]

We understand, based on staff experience, that preferential terms provided to certain investors or one investor do not necessarily benefit the fund or other investors that are not party to the side letter agreement and, at times, we believe these terms can have a material, negative effect on other investors.[825] For example, selective disclosure of certain information may entitle the investor privy to such information to avoid a loss (*e.g.*, by submitting a redemption request) at the expense of the non-privy investors.

After considering comments, we are adopting the prohibition on certain preferential redemption terms, but with two exceptions. In general, we believe that granting preferential liquidity rights on terms that the adviser reasonably expects to have a material, negative effect on other investors in the private fund or in a similar pool of assets is a sales practice that is harmful to the fund and its investors. An adviser can attract preferred investors to invest in the fund by

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820 *See* Ropes & Gray Comment Letter; RFG Comment Letter III.

821 *See* NYC Comptroller Comment Letter; AIMA/ACC Comment Letter; IAA Comment Letter II.

822 *See* SBAI Comment Letter; NYC Bar Comment Letter II; RFG Comment Letter III; Ropes & Gray Comment Letter; PIFF Comment Letter.

823 *See* Ropes & Gray Comment Letter.

824 *See* PIFF Comment Letter; NYC Bar Comment Letter II; IAA Comment Letter II.

825 *See, e.g.*, EXAMS Private Funds Risk Alert 2020, *supra* footnote 188.

offering preferential terms, such as more favorable liquidity rights.[826] Such practices often have conflicts of interest, however, that can harm other investors in the private fund. For example, in granting preferential liquidity rights to a large investor, the adviser stands to benefit because its fees increase as fund assets under management increase. While the fund also may experience some benefits, including the ability to attract additional investors and to spread expenses over a broader investor and asset base and the ability to raise sufficient capital to implement the fund's investment strategy and complete investments that meet the fund's target investment size (particularly for illiquid funds), there are scenarios where the preferential liquidity terms harm the fund and other investors. For example, if an adviser allows a preferred investor to exit the fund early and sells liquid assets to accommodate the preferred investor's redemption, the fund may be left with a less liquid pool of assets, which can inhibit the fund's ability to carry out its investment strategy or promptly satisfy other investors' redemption requests. This can dilute remaining investors' interests in the fund and make it difficult for those investors to mitigate their investment losses in a down market cycle.[827] These concerns can also apply when an adviser provides favorable redemption rights to an investor in a similar pool of assets, such as another feeder fund investing in the same master fund. The Commission believes that the potential harms to other investors justify this restriction.

In a change from the proposal, and after considering comments, we are adopting two exceptions from this prohibition. First, an adviser is not prohibited from offering preferential

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826 *See, e.g.*, *id.* (Commission staff has observed advisers provide side letter terms to certain investors, including preferential liquidity terms).

827 *See In the Matter of Deccan Value Investors LP, et al.*, Investment Advisers Act Release No. 6079 (Aug. 3, 2022) (settled action) (alleging that registered investment adviser mismanaged significant redemptions by two university clients due in part to the adviser's stated concern over the negative impact the redemptions could have on non-redeeming clients and investors).

redemption rights if the investor is required to redeem due to applicable laws, rules, regulations, or orders of any relevant foreign or U.S. Government, State, or political subdivision to which the investor, private fund, or any similar pool of assets is subject. Commenters suggested that, if we retain the rule, we should permit an exclusion from this rule with respect to investors that are required to obtain such liquidity terms because of regulations and laws (*i.e.*, institution-specific requirements).[828] Some commenters argued that this exception is necessary to prevent the fund or investors from suffering harm related to legal or regulatory issues[829] (*e.g.*, certain investors may require special redemption rights to comply with pay-to-play laws) and to ensure that certain investors, such as pension plans, can continue to invest in private funds.[830] We do not intend for this prohibition to result in the exclusion of certain investors from funds or in an investor violating other applicable laws. For example, under this exception, pension plan subject to State or local law may be required to redeem its interest under certain circumstances, such as a violation by the adviser of State pay-to-play, anti-boycott, or similar laws. Advisers that use this exception will still be subject to the disclosure obligations under rule 211(h)(2)-3(b). For example, with respect to a pension plan that receives preferential redemption rights under this exception, an adviser will need to disclose this preferential treatment pursuant to rule 211(h)(2)-3(b). Certain commenters suggested that we broaden the exception to include redemptions

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828 *See* NYC Comptroller Comment Letter; SIFMA-AMG Comment Letter I; OPERS Comment Letter; RFG Comment Letter III; AIC Comment Letter II.

829 *See* Chamber of Commerce Comment Letter; RFG Comment Letter III; MFA Comment Letter I; Ropes & Gray Comment Letter; Dechert Comment Letter; PIFF Comment Letter; SIFMA-AMG Comment Letter I; Comment Letter of the Minnesota State Board of Investment (Apr. 25, 2022); OPERS Comment Letter; NYC Bar Comment Letter II; Meketa Comment Letter; SIFMA-AMG Comment Letter I.

830 *See, e.g.*, Ropes & Gray Comment Letter; OPERS Comment Letter; RFG Comment Letter II.

pursuant to an investor's policies or resolutions.[831] We are concerned, however, that excluding redemptions pursuant to these more informal arrangements could compromise the investor protection goals of the rule and would incentivize investors to adopt policies or resolutions to circumvent the rule. We also believe that any exception from this rule should be narrowly tailored to limit potential harms to other investors to those cases that are absolutely necessary. We believe that redemption terms required by more informal arrangements, such as policies or resolutions, would therefore not be permissible. Accordingly, the final rule does not provide an exception for more informal arrangements, such as policies and resolutions.

Second, an adviser is not prohibited from offering preferential redemption rights if the adviser has offered the same redemption ability to all other existing investors and will continue to offer such redemption ability to all future investors in the same private fund or any similar pool of assets. Several commenters supported giving investors a choice of various liquidity options and disclosing this in the fund's governing and offering documents.[832] We understand that advisers have many methods to provide different liquidity terms to private fund investors, including through side letters as well as by embedding these terms in the fund's governing documents.[833] While preferential liquidity terms provided via side letter are more explicitly targeted to particular investors, we believe that favorable liquidity terms provided through the fund's governing documents (*i.e.*, by a fund offering different share classes, some with more

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831 *See e.g.*, NY State Comptroller Comment Letter (stating that investor policies applied consistently across similar investments should be excepted); NYC Comptroller Comment Letter (stating that investor policies requiring different liquidity terms should be excepted).

832 *See* AIMA/ACC Comment Letter; RFG Comment Letter III; NACUBO Comment Letter; MFA Comment Letter I; SBAI Comment Letter; SIFMA-AMG Comment Letter I; Segal Marco Comment Letter.

833 This exception acknowledges that investors may prioritize one term over another (*e.g.*, an investor may be willing to pay higher fees in exchange for better liquidity). Thus, we believe that this exception is responsive to commenters who stated that the Commission should provide an exception for scenarios in which an investor elects to receive less liquidity in exchange for other rights or terms.

favorable liquidity terms than others) presents the same concerns that our final rule seeks to address. Overall, we believe that this exception balances our policy goals of protecting against potential fraud and deception and certain conflicts of interest, while preserving investor choice regarding liquidity and price. To qualify for the exception, an adviser must have offered the same redemption ability to *all* other existing investors and must continue to offer such redemption ability to all future investors *without qualification* (*e.g.*, no commitment size,[834] affiliation requirements, or other limitations). For example, an adviser offering a fund with three share classes, each with different liquidity options but that are otherwise subject to the same terms (Class A, Class B, and Class C), cannot restrict Class A to friends and family investors if the adviser reasonably expects such liquidity rights to have a material, negative effect on other investors.

Advisers are prohibited from acting directly or indirectly under the final rule.[835] For example, an adviser could not avail itself of the exception by offering Class A (annual redemption, 1% management fee, 15% performance fee) and Class B (quarterly redemption, 1.5% management fee, 20% performance fee) while requiring Class B investors also to invest in another fund managed by the adviser, to the extent the adviser reasonably expects such liquidity terms would have a material, negative effect on other investors. We would interpret such an incentive structure as failing to satisfy the requirement to offer investors the same redemption ability as required under the final rule because the obligation to invest in another fund managed by the adviser serves to indirectly prevent investors from selecting Class B. We similarly would interpret an arrangement where Class B investors (quarterly redemption, 1.5% management fee,

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[834] An adviser could not avail itself of this exception, for example, if it offered a share class that is only available to investors that meet a certain minimum commitment size.

[835] *See* rule 211(h)(2)-3.

20% performance fee) would be required to agree to uncapped liability when the adviser has reason to believe that certain investors (*e.g.*, government entities) cannot agree to uncapped liability, while Class A investors would not be subject to such an obligation, as not satisfying the requirements of the exception.

2. Prohibited Preferential Transparency

We proposed to prohibit an adviser and its related persons from providing information regarding the portfolio holdings or exposures of the private fund or of a substantially similar pool of assets to any investor if the adviser reasonably expects that providing the information would have a material, negative effect on other investors in that private fund or in a substantially similar pool of assets.[836]

Some commenters supported the proposal,[837] and one commenter stated that all investors should receive basic information about portfolio holdings.[838] Others argued that the proposed rule could negatively impact investors to the extent it would prohibit them from receiving information required under applicable laws or regulations.[839] Certain commenters argued that the proposed rule could harm investors if they are prohibited from receiving certain information or material as members of the fund's limited partner advisory committee.[840] As with the proposed prohibition on preferential liquidity, some commenters recommended that we not move

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836 Proposed rule 211(h)(2)-3(a)(2).

837 *See* Comment Letter of Pattern Recognition: A Research Collective (Apr. 25, 2022) ("Pattern Recognition Comment Letter"); Segal Marco Comment Letter.

838 *See* Pattern Recognition Comment Letter.

839 *See* Meketa Comment Letter; MFA Comment Letter I.

840 *See* NYC Comptroller Comment Letter; NY State Comptroller Comment Letter; RFG Comment Letter II.